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Solution

Provision for bad and doubtful debts = ` 20,000 x 5/100 = ` 1,000

Adjusting entry

Date	Particulars	L.F.	Debit `	Credit `
2016	Profit and loss A/c Dr.		1,000	
Dec. 31	To Provision for bad and doubtful debts A/c			1,000
	(Provision for bad and doubtful debts created)			

Dr. Profit and loss account for the year ended 31st December, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Bad debts		500			
Add: Provision for bad and doubtful debts		1000			

Balance Sheet as on 31st December, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	20,000	
			Less: Provision for bad and doubtful debts	1,000	19,000

Illustration 6

Abstracts from the trial balance as on 31st March, 2016:

Particulars	Debit `
Sundry debtors	52,000
Bad debts	1,000

Adjustments:

(i) Additional bad debts ` 2,000

(ii) Create 5% provision for bad and doubtful debts

You are required to pass necessary adjusting entries and show how these items will appear in final accounts.

Solution

Working note:

Particulars	`
Sundry debtors	52,000
Less: Additional Bad debts	2,000
	50,000

Provision for bad and doubtful debts = ` 50,000 x 5/100 = ` 2,500